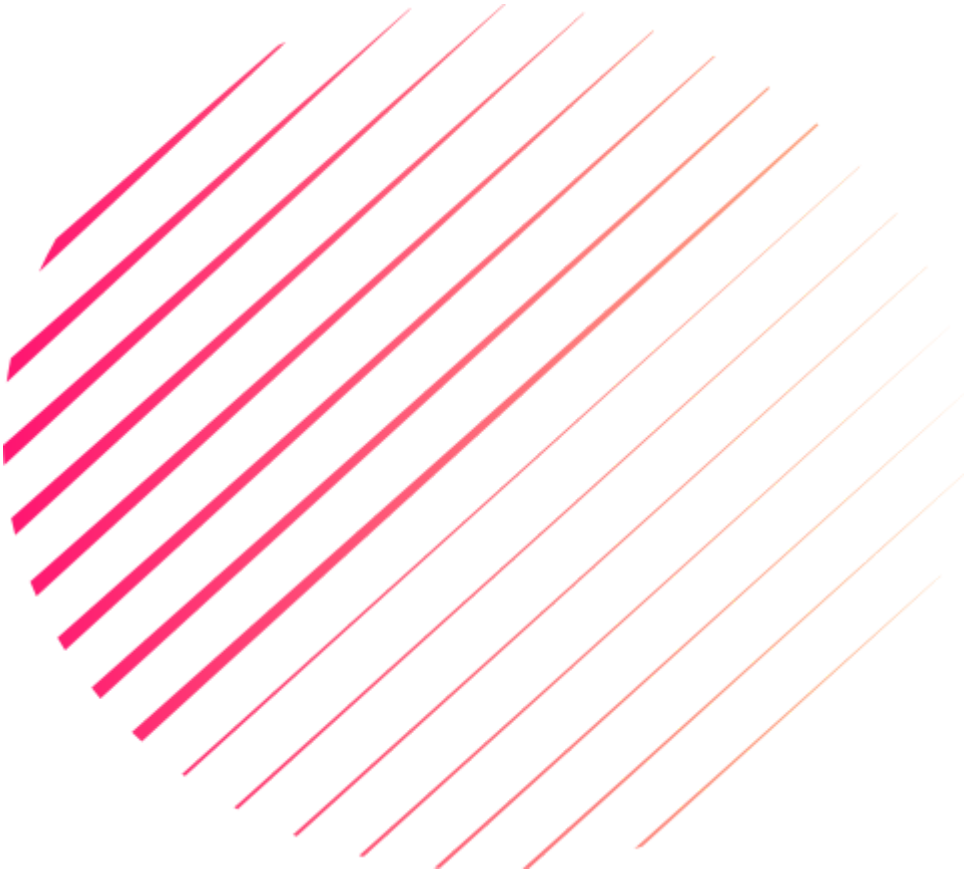
Enel S.p.A



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Strategy

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Executive summary

Enel is moving away from its broad, multi-country, multi-technology model toward a more focused strategy built around regulated assets. The shift prioritizes electricity grids, contracted renewables, and customer solutions that generate steady cash flow.

The 2025–2027 plan reinforces this direction with a leaner organization, heavier investment in grids, a higher dividend floor, and operations concentrated in fewer core markets. Recent exits from Romania and Peru have helped cut debt and simplify the portfolio, while partnerships and industrial-plan structures keep renewable growth largely self-funded.

The Strategy Tripod highlights solid and attractive industry, distinctive digital and partnership capabilities, and a European context that rewards companies with resilient, low-carbon grids.
The VRIO audit highlights strengths in digital grids, project development, and financing. The strategy: focus on investing 75–80% of its capital spending on European electricity grids to improve resilience, grow renewables only when risks are low, and sell parts of non-core projects to raise funds.

Concretely, Enel should: 1) consolidate a European grid leadership position, including targeted acquisitions or joint ventures that deliver density; 2) build a renewable "develop-to-sell-down" model; 3) keep a smaller and safer presence in Latin America, with stable contracts and protection against currency fluctuation.
This path best aligns with the firm's resource endowment, the regulatory environment, and the industry structure while preserving dividend credibility and deleveraging discipline.

Company Overview

Enel SpA is an Italian multinational company dedicated to the manufacture and distribution of electricity and renewable energy. Since the day it was founded, in 1962, the company has been constantly embracing new technologies to make their energy more reliable, more affordable and more sustainable.

Enel has placed environmental, social and economic sustainability at the center of its corporate culture and is implementing a sustainable development system that is based on the creation of shared value, both inside and outside of the company.

The company is in charge of power production, constantly investing in new renewable plants and transforming thermal assets with a long-term commitment to decarbonization. Enel's portfolio includes more than 1,300 plants worldwide, spanning the entire range of electricity generation technologies.

It is also in charge of the electricity distribution, their goal is to to create cutting-edge infrastructure to guarantee electricity supply, integrate clean energy sources, and build a secure, efficient, and sustainable energy future.

Enel has developed a diversification strategy centered on amplifying its presence beyond the production and distribution of energy, with the goal of adapting to the industry changes. Enel X is a subsidiary of the main company in charge of offering innovative and sustainable services, such as:

- Enel W Way: infrastructure for electric cars.
- Smart grids: high-performance communication network that enables data exchange, beneficious for businesses and customers.
- Digital management of energy consumption: allowing companies and municipalities to supervise their energy consumption in real time.

The company had participated in different merger and acquisitions operations, acquiring firms such as Mooney group, and italian fintech. Also, the acquisition of eMotorWerks, an American firm specialized in smart electric vehicle charging.

This type of operation allows Enel to expand to new markets and reduce financial risks and dependence on a single business area.

Strategic Analysis

How the industry, resources, and institutions shape Enel's choices (Strategy Tripod)

From an industry perspective, regulated electricity distribution provides stable and attractive economics: predictable revenues linked to asset value and quality-of-service metrics. Long-term renewables contracts reduce exposure to volatile electricity prices and stabilize cash flows. According to Porter's framework, competitive forces are relatively weak in regulated networks: there is limited rivalry on the asset once a concession is granted; high

entry barriers; and low substitution in the near-term. Contracted renewables also benefit from power purchase agreements and scale efficiencies in project development. This supports Enel's increased concentration on regulated and contracted activities versus merchant risk.

At the firm level, the Resource-Based View positions Enel as a company whose tangible, intangible, and human combined into distinctive capabilities: digitalized grids and smart-metering platforms; industrialized renewables development; capital partnering; and data-driven customer solutions. Capabilities result from repeatable operating systems: project origination, permitting, construction, operation, and grid digitalization, converting resources into cash-generating assets. The Group's operating model, "develop-build-contract-partner," and its ability to replicate this model across markets, create a durable source of competitive advantage.

The institutional-based view explains Enel's rotation out of jurisdictions with higher policy uncertainty into European regulators with clearer tariff frameworks, while using partnerships to mitigate residual risk where it stays present. Institutionally, the EU policy mix Fit-for-55, grid modernization incentives, resilience, and flexibility targets all favor investment in networks and renewable energy. In contrast, some emerging-market face greater regulatory, currency, and political risks.

What the plan says and why it fits the tripod

Enel’s 2025–2027 Strategic Plan emphasizes cost discipline, focus on core geographies, and capex skew to grids with predictable returns; renewables growth relies on industrial partnering so that net investment tracks cash generation; the dividend floor rises while deleveraging continues. This is consistent with an industry lens (priority to regulated/contracted earnings), a resource lens (scaleable grid-digitalization and RES development capabilities), and an institutional lens (Europe’s supportive regulation, selective exposure elsewhere)

VRIO of Enel’s key assets and capabilities

Digital grids and smart-metering platforms are valuable because they cut losses, increase flexibility, and improve service quality. They are rare thanks to Enel’s unique mix of network coverage, deep data resources, and large-scale rollout experience. They are hard to imitate

because they rely on long-term integration of IT and operational systems, proprietary methods, established supplier networks, and learning built up over time. And they are well organized through a dedicated platform model, including the spin-off of Gridspertise, which helps monetize the technology and spread common standards.This underpins sustainable advantage in the networks core.

It is valuable for capital velocity and risk-sharing, rare at Enel's global scale with bankable track record, hard to imitate because it rests on origination breadth, permitting know-how, EPC/O&M cost curves, and a stable of long-term offtakers, and organized via programmatic partnerships and develop-to-farm-down cadence. The plan explicitly pursues IRR-over-WACC outcomes while keeping the program fully funded thanks to partner recycling. Capital partnering and asset rotation capability: Valuable in lowering net investment per MW and deleveraging; Rare among peers at similar cadence; Imitation is constrained by reputation effects with counterparties and lenders; Organization is evident in Group-level governance aligning pipeline, risk, and finance. The Romania and Peru transactions evidence execution and discipline, with measurable debt reduction and portfolio simplification. Finally, brand legitimacy and policy engagement in Europe are institutionally Valuable and Organized advantages when bidding for concessions, negotiating tariff mechanisms, or shaping grid-resilience incentives, again supporting a Europe-heavy allocation.

On a GE–McKinsey grid, EU distribution businesses sit in “invest/grow” (high industry attractiveness; highly competitive strength). Contracted EU renewables rank “selective growth” (attractive but constrained by permitting and grid connection). Non-core LATAM assets score from “selective” to “harvest/monetize” depending on contract coverage, FX stability and regulatory clarity. This triangulates to the current plan’s heavier EU grid capex, partnered RES growth, and exits/rotations in higher-risk nodes.

Strategic Recommendation

Enel should follow a Grids-Led Energy-as-Infrastructure strategy built on three connected actions.

First, direct about 75–80% of total investments (gross capex) to European power distribution networks and grid-related resilience services. Focus on countries with clear regulation and service-quality incentives, where Enel can benefit from density advantages and operational

excellence. Lead the market in digital substations, flexibility platforms, and advanced metering, and consider small acquisitions or joint ventures that strengthen scale in operations and procurement. This approach takes advantage of the best industry and regulatory conditions (Five Forces/IBV) and Enel's strong internal grid capabilities (VRIO), while supporting stable and visible dividends.

Second, make renewables growth "develop-to-sell-down" a structured business model, aligned with the rise of data centers and industrial decarbonization. Build new renewable energy (RES) projects only when 90–100% of output is sold under long-term, investment-grade contracts or when contracts-for-difference (CfDs) significantly limit downside risk. Use programmatic partnerships to keep new capacity self-funded, maintaining debt and return (IRR > WACC) targets. Favor hybrid assets that include contracted capacity services where some merchant risk is unavoidable.

Third, treat Latin America as a smaller, option-style portfolio made up of FX-hedged, contracted businesses. Remain active only in markets with reliable tariffs and institutional quality, and otherwise shift to minority stakes or structured JVs. Continue reinvesting proceeds from these rotations into European grids and contracted renewable projects. The Romania and Peru transactions show Enel can carry out such portfolio rotations successfully without changing its overall strategy.

Why will this work?

The recommendation is the natural extension of Enel's current plan: it magnifies segments where industry forces, institutional regimes and Enel's capabilities intersect most favorably; it sustains dividend and deleveraging trajectories; and it keeps growth optionality via partnerships rather than balance-sheet strain. It is coherent with the course frameworks: industry attractiveness and barriers (Porter) back the grids tilt; the RBV/VRIO audit supports durable advantage in digital networks and RES execution; the IBV justifies concentration in transparent EU regimes while using partnerships to manage exposure elsewhere.

Appendix

Enel (2025) Our Business.

Our Business

Enel (2024) Strategic Plan 2025–2027.

Results presentation

Enel (2024) *Strategic Plan 2025–2027 overview.*

Enel Strategic Plan at Capital Markets Day | Enel Group

Enel (2024) *Investor Presentation 2024.*

Results presentation

Enel (2023) 'Enel finalized the sale of its Romanian operations to PPC

Enel finalized the sale of its Romanian operations to PPC

Enel (2024) 'Closing of sale of generation assets in Peru

Enel: closing of sale of generation assets in Peru | Enel Group

Enel (2025) *Integrated Annual Report 2024*

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Reuters (2024) 'Italy's Enel ups minimum dividend, to invest over $45 billion by 2027

Italy's Enel ups minimum dividend, to invest over $45 billion by 2027 | Reuters

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Company Overview

"Build new renewable… limit downside risk"
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